

The Court orders as follows:

- The parties are ordered to meet and confer in person, via telephone or video conference on or before 5:00 p.m. on **March 13, 2026**.
- Defense counsel shall file a declaration by 4:00 p.m. on **March 18, 2026** confirming when and how the meet and confer took place.
- The declaration shall state that the Parties either (1) reached an agreement on the merits of the Demurrer and the Parties are stipulating to the filing of an amended complaint, or (2) did not reach an agreement and the Court should proceed with ruling on the Demurrer as filed – or any portion thereof to which the Parties could not agree. (For example, if Plaintiff does agree to withdraw either or both of the fifth and sixth causes of action, the parties shall notify the Court of this.)

The hearing on the matter is continued until **April 3, 2026**.

2. 9:00 AM CASE NUMBER: C22-01571
CASE NAME: JANE DOE VS. CONTRA COSTA BALLET CENTRE, AN ENTITY OF UNKNOWN TYPE
***HEARING ON MOTION IN RE: STRIKE PORTIONS OF 1ST AMENDED COMPLAINT**
FILED BY: CONTRA COSTA BALLET CENTRE, AN ENTITY OF UNKNOWN TYPE
TENTATIVE RULING:

See line 1.

3. 9:00 AM CASE NUMBER: C23-01752
CASE NAME: MARY WALDEN VS. GREGG DRILLING & TESTING, INC.
HEARING ON SUMMARY MOTION JUDGMENT
FILED BY: GREGG DRILLING, LLC
TENTATIVE RULING:

Before the Court is Defendant Gregg Drilling Testing, Inc. (“Defendant” or “GDT”)’s motion for summary judgment or, in the alternative, for summary adjudication. The motion is opposed by Plaintiff Mary Walden (“Plaintiff” or “Ms. Walden”). This motion relates to the complaint filed by Plaintiff alleging (1) gender-based employment discrimination, (2) age-based employment discrimination, (3) failure to prevent, investigate, and remedy discrimination and retaliation, (4) retaliation, and (5) wrongful termination.

Defendant moves for summary judgment on the grounds that (1) Ms. Walden’s claim for gender-based discrimination fails because her allegations related to compensation fall outside the scope of her administrative charge, her allegations regarding compensation extending back through 27 years of employment are time-barred as ancient activities, she cannot establish a *prima facie* case of gender-based discrimination, and GDT had a legitimate business purpose for demoting and ultimately terminating her; (2) Ms. Walden’s age-based discrimination claim fails because she cannot establish a

prima facie case of age-based discrimination, and GDT had a legitimate business purpose for demoting and ultimately terminating her; (3) Ms. Walden's claim for retaliation fails because she neglected to exhaust administrative remedies; (4) Ms. Walden's claims for failure to prevent discrimination and wrongful termination fail because they are derivative of her discrimination claims, which GDT argues fail for the above reasons. Defendant also argues that Ms. Walden fails to meet her burden of establishing malice fraud or oppression to qualify for punitive damages.

Plaintiff opposes this motion. She contends that (1) her compensation-based gender discrimination falls within the scope of her administrative charge, and that evidence of pay disparities and sex-based comments is properly considered as background and as part of a continuing pattern of discrimination; (2) she has established *prima facie* cases of gender and age discrimination by presenting evidence that she performed Project Manager duties, received positive performance evaluations, was demoted and terminated despite satisfactory performance, and was replaced by or treated less favorably than younger, less experienced male employees; (3) Defendant's proffered reason for eliminating her position is pretextual, as there is evidence that her duties were not eliminated but reassigned, that male Project Managers were paid significantly more for comparable work, and that older employees were disproportionately terminated around the time of her termination; (4) her retaliation claim is reasonably related to the allegations in her administrative charge and therefore administratively exhausted; and (5) her derivative claims for failure to prevent discrimination and wrongful termination survive to the extent that her discrimination claims survive. Plaintiff further contends that triable issues of fact exist regarding oppression, fraud, or malice sufficient to permit her punitive damages claim to proceed.

For the following reasons, Defendant's motion for summary judgment or, in the alternative, summary adjudication, is **granted in part and denied in part**.

Request for Judicial Notice

Defendant requests judicial notice of the complaint and its accompanying exhibits in this case.

A court may take judicial notice of court records pursuant to Evid. Code, § 452(d), however, when taking judicial notice of court records, the court is limited to noticing the *existence* of each document in a court file. (*Day v. Sharp* (1975) 50 Cal.App.3d 904, 914.) The court can only take judicial notice of the truth of facts asserted in orders, findings of fact and conclusions of law, and judgments. (*Ibid.*) "The truth of statements contained in the document and its proper interpretation are not subject to judicial notice if those matters are reasonably disputable." (*Fremont Indemnity Co. v. Fremont General Corp.* (2007) 148 Cal.App.4th 97, 113.)

Defendant's request for judicial notice is **granted**.

I. Legal Standard

Motion for Summary Judgment/Adjudication

A party may move for summary judgment if they contend that a cause of action lacks merit or that there is no defense. (Code Civ. Proc. §437c(a)(1).) A cause of action lacks merit if one or more of its

elements cannot be established or if the defendant establishes an affirmative defense. (Code Civ. Proc. §437c(o).)

“[T]he party moving for summary judgment bears the burden of persuasion that there is no triable issue of material fact and that he is entitled to judgment as a matter of law.” (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850; Code Civ. Proc. § 437c (c).) “[T]he facts alleged in the evidence of the party opposing summary judgment and the reasonable inferences that can be drawn therefrom are accepted as true.” (*Hersant v. Department of Social Services* (1997) 57 Cal.App.4th 997, 1001.)

A defendant meets their burden for summary judgment if they show that one or more elements of the cause of action cannot be established or that there is a complete defense to the cause of action. (Code Civ. Proc., 437c(p)(2).) Once the defendant meets that burden, the burden shifts to the plaintiff to show a defense to the cause of action or a triable issue of one or more material facts. (*Ibid.*)

Employment cases presenting issues of intent and motive “are rarely appropriate for disposition on summary judgment.” (*Nazir v. United Airlines, Inc.* (2009) 178 Cal.App.4th 243, 286.)

“A motion [for summary adjudication] ... shall proceed in all procedural respects as a motion for summary judgment.” (Code Civ. Proc., § 437c(t)(5).)

II. Factual and Procedural Background

This case arises out of an employment dispute between Ms. Walden and her former employer, GDT. (Compl. ¶ 13.) Ms. Walden is a woman, and at the time of her termination she was 59 years old. (*Id.* at ¶ 4.) GDT qualifies as an employer under FEHA. (Cal. Gov. Code, § 12926(d).)

Ms. Walden was hired in 1992 and worked for GDT for 29 years. (Compl. ¶ 13.) In her first two years with GDT, Ms. Walden was employed as an administrative assistant in Accounts Payable, Receivables and Payroll, however in 1994 she was transferred to a new division, Cone Penetration Testing (“CPT”), where she worked as Office Manager. (*Id.* ¶ 14.)

Ms. Walden presents evidence that from 1993 to 1994 she started to work roughly 50 percent of the time as a Project Manager in the CPT division and 50 percent of the time as an Office Manager. (Walden Dec. ¶ 7.) Her project management duties included: “communicating with clients; determining the type of CPT drilling required; identifying and ordering necessary supplies; collecting and organizing project data; ensuring Utility Service Alerts (USA) were in place or obtaining them; securing city and county permits; preparing maps; managing equipment and personnel; and compiling project data upon completion.” (*Ibid.*)

Ms. Walden alleges she was not given an official title denoting the increased responsibilities and she did not receive any additional compensation for the enhanced duties. (Compl. ¶ 14.) In her deposition she testified that she supervised both office staff and field crews in her dual roles. (Deposition of Mary Walden (“Walden Depo.” attached as Ex. 1 to Declaration of Stephen M. Fuerch (“Fuerch Dec.”) at 115:23-25, 116:1-15.) Among the office staff Ms. Walden supervised was an administrative assistant named Mary Womble. (Walden Depo., attached as Ex. E to Declaration of Harold Jones,

("Jones Dec.") at 116:1-2.)

Ms. Walden presents evidence that from approximately 2000 to 2009, she spent roughly 90 percent of her time working in a CPT Project Manager role, wherein she oversaw three to four drilling rigs, and the remaining 10 percent of her time was dedicated to Office Manager duties. (Declaration of Mary Walden, "Walden Dec." ¶ 8.) From 2009 to 2019 she continued on as Defendant's CPT Project Manager, and from 2014 to January 2019, Ms. Walden alleges she spent 100 percent of her time as a Project Manager. (*Id.* ¶¶ 9-11.) During this latter period, an administrative assistant was hired to take care of many of the business' office tasks. (*Ibid.*)

Her earnings from 2010 to 2013 were as follows: \$99,029.59 in 2010; \$97,540.21 in 2011; \$99,521.92 in 2012; and \$99,029.30 in 2013. (Walden Dec. ¶ 10.) From 2014 to 2019, when she worked 100 percent of the time as a Project Manager, her annual salary was \$83,339.43. (Walden Dec. ¶ 13.)

Ms. Walden attached two emails to her declaration, one from 2016 and one from 2019; in both she appears to be the sender, and her signature block includes the title "Office Manager/CPT Project Manager." (Walden Dec. Ex. 1.)

The 2016 email sent from her email address reads as follows:

Thank you for scheduling this project with us. We appreciate your business. We currently have you on the schedule for [redacted] CPT rig. *I will be the project manager on this project*, should you have any questions, please feel free to give me a call or shoot me an email. Please complete the attached forms and return at your earliest convenience.

(Walden Dec. Ex. 1 (emphasis added).)

Former GDT employee Paul Rogers declared that he worked for GDT for 26 years, first as a driller for 18 years, and then as a Project Manager and Health and Safety Coordinator for the last eight years before leaving the company in 2018 with a final annual salary of \$110,000. (Declaration of Paul Rogers, "Rogers Dec." attached as Ex. 6 to Fuerch Dec. ¶¶ 1-6.) Mr. Rogers further declared that Ms. Walden was also a Project Manager with GDT and in fact assisted him in transitioning from working as a driller to working as a Project Manager. (Rogers Dec., ¶¶ 8, 10.) He noted, "Mary was an outstanding project manager, she was good at making sure her Utility Service Alerts (locates utilities underground) were done on time, she would check in with clients during a project, and she was very patient..." (*Id.* ¶ 10.)

Ms. Womble testified in deposition that Ms. Walden worked as a CPT Project Manager and Ms. Womble directed all calls related to CPT to Ms. Walden. (Deposition of Mary Womble, attached as Ex. 2 to Fuerch Dec. at 25:12-26:8, 27:3-28:9.)

In contrast, GDT contends that Ms. Walden was never a Project Manager. (Defendant Greg Drilling, LLC's Response to Plaintiff's Form Interrogatories, General, Set Two, ("Defendant's Form

Interrogatory Resp.” attached as Ex. 4 to Fuerch Dec. at 4:20-5:6.) In form interrogatory No. 17.1 Defendant alleges that Ms. Walden’s duties were strictly that of an Office Manager – limited to monitoring and approving credit card expenses, preparing bank statement spreadsheets, and assembling new-hire paperwork for new employees at the Martinez office, purchasing office supplies, and other as-needed discrete administrative projects. (Defendant’s Form Interrogatory Resp., Fuerch Dec., Ex. 4 at 4:19-23.) GDT notes that Plaintiff was not qualified for a position as a CPT Project Manager given that in her deposition, she testified that the highest level of education she had attained was high school and some human-resources related training. (*Id.* Ex. 4 at 4:25-26.) According to GDT, Ms. Walden’s only involvement in CPT was “sporadic administrative tasks.” (*Id.* at 4:26-28.)

Conversely, Project Managers ("PMs") are responsible for creating their own proposals, yet Plaintiff had no proposal duties; PMs are responsible for client relations while Plaintiff was not, and had rare interactions with clients; PMs maintain inventory and manage safety supplies while Plaintiff was only instructed to order safety supplies; Plaintiff signed permits as requested by PMs; Plaintiff updated certain business licenses and others as requested by PMs; Plaintiff occasionally rented equipment as instructed by PMs; and Plaintiff scheduled physicals, drug testing, training, classes, etc. when instructed to do so by a PM.

(Defendant’s Form Interrogatory Resp., Fuerch Dec., Ex. 4 at 4:28-5:6.)

Ms. Walden asserts that GDT gave her positive evaluations and feedback throughout her tenure with the company. (Compl. ¶ 17.) Her annual evaluations from GDT “consistently noted her exceptional technical skill set and client relationships.” (*Ibid.*)

During Ms. Walden’s tenure with GDT, the company hired “numerous” younger, less experienced male Project Managers. (Compl. ¶ 18.) These men were paid significantly more in annual salary than Ms. Walden. (*Ibid.*) In April of 2021, at the time of Ms. Walden’s termination, she was earning approximately \$87,000, in contrast to male Project Managers who were compensated in the range of \$110,000 to \$174,000. (*Ibid.*)

On many occasions, when a male Project Manager left the company either voluntarily or involuntarily, and the position [became] vacant, GDT expected and required Plaintiff to take over the Project Manager duties while managing the office full time. GDT did so without ever offering the Project Manager position to Plaintiff or giving her a raise for the extra work she was doing.

(Compl. ¶ 19.)

Ms. Walden alleges she was paid significantly less for her Project Manager work than similarly situated male Project Managers, many of whom earned in excess of \$100,000. (Walden Dec. ¶ 17.)

Ms. Walden declares that she asked for raises to match her pay to similarly situated male Project Managers repeatedly during her tenure with GDT, however each time she received only a small increase that kept her pay significantly lower than her male colleagues. (*Id.* ¶ 18.) On one occasion when she inquired about a raise, she was told that the company “could not pay [her] more than ‘what the Southern California girls were earning,’” and that she was already being paid more than “[the company] could justify paying a woman in [her] position.” (*Id.* ¶ 19.)

Ms. Walden felt she was repeatedly discriminated against during the span from 2003 until she was terminated in 2021. (Compl. ¶ 20.) She alleges that she complained to management that she felt the company was treating her unfairly. (*Ibid.*) GDT never took any action to investigate or ameliorate her concerns. (*Ibid.*)

On two occasions, a male Project Manager, Chris Pruner, told Ms. Walden that project management was “a man’s job.” (Walden Dec. ¶ 20.) When she reported this conduct to management, the company did not investigate. (*Id.* ¶ 22.) When she complained to Defendant’s owner, John Gregg, about Mr. Pruner’s disrespectful treatment, he told her that there was nothing that could be done. (*Id.* ¶ 22.) Ms. Walden was also subjected to raised voices and harsh criticism from male manager Chris Christensen. (*Id.* ¶ 21.)

In late 2020, Mr. Christensen advised Ms. Walden that she should focus on her Office Manager duties because if she accepted such reassignment, she was more likely to keep her job. (Walden Dec. ¶ 28.)

Timothy Boyd, who is currently GDT’s president and has worked for the company in various roles since 1998, asserted in his declaration that Ms. Walden “never made any complaints of discrimination or mistreatment on the basis of her age or gender.” (Declaration of Timothy Boyd, “Boyd Dec.,” ¶ 3.) Mr. Boyd did not claim to have worked specifically in a human resources capacity at GDT.

In January of 2021, prior to being promoted to president, GDT promoted Mr. Boyd to Division Manager for Northern California. (Boyd Dec. ¶¶ 1, 3.) His duties then included overseeing the operations of the company’s Northern California office. (*Ibid.*)

Mr. Boyd declared that, in a bid to “improve synergy and efficiency” between the Northern California and Southern California offices, he began to analyze the workflow, communications, and job duties of the staff at the Northern California Office. (Boyd Dec. ¶ 4.) Through this process he found that the bulk of employees reported to Operations Manager Jake Wilson, while just two administrative employees reported to Ms. Walden. (*Ibid.*)

Conversely, Ms. Walden testified that Mr. Wilson did not become her supervisor until a week before she was terminated on April 28, 2021. (Walden Depo, attached as Ex. 1 to Fuerch Dec. at 182:19-22.) She testified that her two subordinate administrative assistants, Ms. Womble, and Phyllis Johnson, did not get reassigned to Mr. Wilson until one or two weeks before Ms. Walden was terminated. (*Id.* at 183:5-24.)

Mr. Boyd averred in his declaration that in February of 2021, in an effort to “streamline management and supervision in the office and to keep the management style cohesive throughout the office, [Mr.

Boyd] decided that going forward Jake Wilson would supervise and manage all employees in the Northern California office.” (Boyd Dec. ¶ 5.) Mr. Boyd declares that he did not consider Ms. Walden’s age or gender in his analysis or in ultimately making that decision. (*Id.* ¶ 6.)

In the wake of relieving Ms. Walden of her supervisory duties, Mr. Boyd noticed that most of her remaining duties were “minimal, and in many cases redundant...” (Boyd Dec. ¶ 7.)

For example, Walden was responsible for handling the onboarding paperwork for new employees. Typically the Company hires few new employees each year. Thus the time necessary for processing new hire paperwork for each new employee is minimal.

(Boyd Dec. ¶ 7.)

After “internal consultation,” Mr. Boyd said he concluded that “it made more economic sense” to eliminate Ms. Walden’s job and redistribute her duties to other employees. (Boyd Dec. ¶ 8.) Mr. Boyd said neither Ms. Walden’s age nor her gender played a role in his decision to eliminate her job. (*Ibid.*) GDT terminated Ms. Walden’s employment on April 28, 2021. (*Id.* ¶ 9.)

The day Ms. Walden was terminated, Mr. Wilson approached her, asking for two company checks on behalf of Mr. Boyd and led her to Mr. Boyd’s desk. (Jones Dec., Ex. E at 170:15-25; 172:1-4.) When they arrived at Mr. Boyd’s desk with the checks, Ms. Walden spontaneously asked Mr. Boyd if he was writing her last check, to which he laughed and said “yes.” (*Id.* at 171:9-13.) When she asked “Why?” Mr. Boyd told her that her job had become redundant and “we no longer need you.” (*Id.* at 172:14-17.)

Ms. Walden testified that her spontaneous reaction of asking Mr. Boyd if he was writing her last check before she was actually told she was being terminated stemmed from the fact that several other managers had been terminated before her. (Walden Depo., attached as Ex. E to Declaration of Harold Jones, “Jones Dec.,” at 172:6-17.) “I was basically the last manager ... it’s hard not to assume that, you know, there will be that day they want to get rid of all the old people that have been there for 25 plus years ... and that’s exactly what they did.” (*Id.* at 172:24.)

Ms. Walden declares that in her capacity as Office Manager she was aware of all terminations that took place between 2019 and her own termination in April of 2021, and in that time, she observed that only employees over 40 were being terminated. (Walden Dec. ¶ 25.) She further contends that between 2019 and her own termination in April 2021, she became aware of a specific pattern of Defendant terminating at least five employees over the age of 55, all of whom had many years of service with the company (*Id.* ¶ 26; Compl. ¶ 22, Walden Depo. attached as Ex. E to Jones Dec. at 172:6-25.) To fill Project Manager roles in the wake of these terminations, GDT hired younger male employees. (Walden Dec. ¶ 27.)

GDT admitted to involuntarily terminating six employees over the age of 40, including Ms. Walden, between January 1, 2019, and July 29, 2021. (Defendant Gregg Drilling, LLC’s Supplemental Responses to Plaintiff’s Special Interrogatories, Set Two, (“Defendant’s Special Inter. Resp.”) attached as Ex. 5 to

Fuerch Dec. at 4:3-5.) They further admitted to terminating 34 employees over the age of 40 between January 1, 2019, and August 4, 2025. (*Id.* Ex. 5 at 4:6-5:19.)

GDT provided no explanation for the elimination of Ms. Walden's job in her letter of termination. (Compl. ¶ 21.) Ms. Walden alleges that "a much younger male employee, to whom GDT was paying higher wages for the same type of work, replaced [her]." (*Ibid.*) GDT contends, however, that no employee replaced Ms. Walden and that her position was altogether eliminated. (Undisputed Material Fact ("UMF") No. 33, Boyd Dec. ¶ 8.)

Ms. Walden also alleges "GDT offered [her] severance pay far less than it had previously offered to other employees who had worked for GDT for shorter periods of time." (Comp. ¶ 21.) Ms. Walden further alleges that she was among several long-time employees over the age of 55 who were terminated during roughly the same time period. (Compl. ¶ 22 Walden Depo. attached as Ex. E to Jones Dec. at 172:6-25.)

Ms. Walden alleges that GDT's decision to terminate her was motivated by her gender and her age. (Compl. ¶¶ 31, 41.) On July 29, 2021^{[14](#)}, she filed a charge of discrimination dually with the California Department of Fair Employment and Housing ("DFEH") and the Equal Employment Opportunity Commission ("EEOC") that contained two charges. (Compl. ¶ 11; Ex. A.)

Allegation No. 1

I allege that I experienced Discrimination on or before April 28, 2021 because of my actual or perceived age (40 and over); Sex/Gender[.] As a result, I was subjected to Demot[ion]. Particulars: I was demoted due to my sex/gender (female) and age (YOB 1962). On or around February 1, 2021, I was informed that my job duties and supervisory responsibilities as Office Manager were removed. I was not given a reason for the demotion. My job duties were given to a younger male.

Allegation No. 2

I allege that I experienced Discrimination on or before April 28, 2021 because of my actual or perceived age (40 and over); Sex/Gender[.] As a result, I was subjected to Terminat[ion]. Particulars: I was terminated due to my sex/gender (female) and age (YOB 1962). On or around April 26, 2021, I was informed I was terminated with no reason given. I am aware that younger males were not terminated as I was.

(Compl. at Ex. A.)

DEFH closed Ms. Walden's case for insufficient evidence and issued her a "right-to-sue" letter on July 29, 2022. (Compl. at Ex. A.) The EEOC adopted DEFH's findings and issued Ms. Walden a "right-to-sue"

letter on September 21, 2022. (*Ibid.*)

Ms. Walden filed the instant suit against GDT on July 19, 2023, alleging (1) Gender-Based Employment Discrimination, (2) Age-Based Employment Discrimination, (3) Failure to Prevent, Investigate, and Remedy Discrimination, Harassment, or Retaliation, (4) Retaliation, and (5) Wrongful Termination.

III. Analysis

A. Gender Discrimination – Scope of Administrative Charges

GDT contends that the pay disparity allegations in Ms. Walden’s civil complaint supporting her claims for discrimination are outside the scope of what she alleged in her administrative charges and thus, she failed to exhaust her administrative remedies. This argument, however, is unpersuasive. Ms. Walden’s charges allege not just demotion and termination, but that pre-existing discrimination led to her demotion and termination. Her charges also allege that discrimination occurred *before* the dates of demotion and termination. Any DFEH investigation would have uncovered pay disparities under these circumstances given that discrimination in compensation is among the prohibited actions contemplated by FEHA. (Gov. Code, § 12940(a).)

California’s Fair Employment and Housing Act (“FEHA”) holds that it is an unlawful employment practice to bar or discharge a person from employment or discriminate against the person in compensation or in terms, conditions, or privileges of employment, based on sex, gender, or age. (Gov. Code, § 12940(a), Gov. Code § 12926(b); § 12926(r)(2).)

Under FEHA, “Age” is the chronological age of a person who has reached a 40th birthday. (Gov. Code § 12926(b).) FEHA defines “Employer” as “any person regularly employing five or more persons, or any person acting as an agent of an employer, directly or indirectly...” (Cal Gov Code § 12926(d).)

In order to file a suit seeking judicial relief under FEHA, a plaintiff must first exhaust administrative remedies by filing administrative charge(s) with DFEH within one year of the alleged unlawful conduct and obtaining a “right-to-sue” letter from the agency. (*Martin v. Lockheed Missiles & Space Co.* (1994) 29 Cal.App.4th 1718, 1724; *Rojo v. Kliger* (1990) 52 Cal.3d 65, 83; Gov. Code, § 12960.) Allegations in a civil suit may be included so long as they are “like or related” to those specified in the charge. (*Oubichon v. North Am. Rockwell Corp.* (9th Cir. 1973) 482 F.2d 569, 571; *Soldinger v. Northwest Airlines* (1996) 51 Cal.App.4th 345, 381.) Charges submitted to DFEH must be “construed liberally in favor of plaintiff [and] construed in light of what might be uncovered by a reasonable investigation.” (*Soldinger, supra*, 51 Cal.App.4th 345, 381; *Nazir, supra*, 178 Cal.App.4th at 268; *Sanchez v. Standard Brands, Inc.* (5th Cir. 1970) 431 F.2d 455, 466.)

Failure to exhaust administrative remedies is a jurisdictional, not procedural, defect; “instead of abating an action as premature, a trial court must grant summary judgment and dismiss the suit upon a finding that a party has not exhausted his or her administrative remedies.” (*Miller v. United Airlines* (1985) 174 Cal.App.3d 878, 890.)

Ms. Walden alleges in her complaint that GDT discriminated against her based on her age and gender when she was repeatedly overlooked for formal promotion to Project Manager, despite being

assigned many of the duties of a Project Manager and frequently being assigned additional duties when other Project Managers left the company. (Compl. ¶ 19.) GDT allegedly assigned these additional duties to Ms. Walden “without ever offering the Project Manager position to Plaintiff or giving her a raise for the extra work she was doing.” (*Ibid.*)

Plaintiff further alleges in her civil complaint that the company hired “numerous” younger, less experienced male Project Managers who were allegedly paid significantly more in annual salary than Ms. Walden. (Compl. ¶ 18.) In April of 2021, at the time of Ms. Walden’s termination, she alleges she was earning approximately \$87,000, in contrast to male Project Managers who were compensated in the range of \$110,000 to \$174,000. (*Ibid.*)

GDT contends that, by contrast, Ms. Walden’s administrative charge only alleges discrimination related to her February 1, 2021 demotion and April 28, 2021 termination and, accordingly, complaints about pay disparity and “any other alleged events that Plaintiff now relies upon to support [her] harassment and hostile work environment claim²¹ are beyond the scope of her Administrative Charge.” (Def. MSJ/MSA at 11:25-27.)

As a threshold issue, GDT’s argument fails.

GDT’s argument that Ms. Walden’s administrative charge does not allege any discrimination prior to February 1, 2021 (Def. MSJ/MSA at 9:16-18) fails because both Ms. Walden’s first and second DFEH charges allege that on or before April 28, 2021, she “experienced Discrimination” based on her gender as a woman and her age as a 59-year-old. (Compl. at Ex. A.) Plaintiff’s charge goes on to state that she experienced demotion and termination *as a result* of the existent discrimination. “Incidents not described in a DFEH charge can be included in the subsequently filed lawsuit if they would necessarily have been discovered by investigation of the charged incidents.” (*Soldinger, supra*, 51 Cal.App.4th at 381.)

In *Jones v. L.A. Cmty. College Dist.* (1988) 198 Cal.App.3d 794, the court found it erroneous to assume that because precise actions claiming to constitute discrimination were not specifically mentioned in a DFEH complaint the department could not have investigated them. (*Jones, supra*, 98 Cal.App.3d at 810.)

Because Ms. Walden’s charges allege she experienced discrimination “on or before April 28, 2021,” GDT’s claim that she did not allege discrimination prior to February 1, 2021, is incorrect. (Def. MSJ/MSA at 9:16-18; Compl. at Ex. A.)

The company also argues that Ms. Walden’s gender discrimination cause of action fails because the administrative charge “does not allege she suffered discrimination arising from disparities between her compensation and the compensation of other employees,” and accordingly, such allegations in her gender discrimination cause of action were not administratively exhausted. (Def. MSJ/MSA at 9:19-20, 11:22-27.)

FEHA holds that “[i]t is an unlawful employment practice ... [f]or an employer, because of the ... sex [or] age [of a person] ... to bar or to discharge the person from employment or ... to discriminate

against the person *in compensation or in terms, conditions, or privileges of employment.*" (Gov. Code, § 12940(a) (emphasis added).)

An investigation into Ms. Walden's FEHA discrimination charges would not have occurred in a vacuum but instead in the context of the Act itself, which specifically refers to discrimination against an employee "in compensation or in terms, conditions, or privileges of employment." (Gov. Code, § 12940(a).) Thus, an investigation into discrimination on or before April 28, 2021, would have sought to identify discrepancies in how employees were treated by the company in such terms. (Compl. at Ex. A.)

An investigation would have logically inquired whether others outside Ms. Walden's protected classes with comparable or lesser qualifications were promoted when she was not. It also would have examined whether any other compensation she received, such as a severance, was less than that of other employees of comparable or less tenure. Similarly, an investigation into the discrimination on or before April 28, 2021, would have examined whether others performing the same Project Manager duties during her tenure were paid more than her. These are all "terms, conditions, or privileges of employment" upon which FEHA prohibits discrimination. (Gov. Code, § 12940(a).)

Furthermore, Ms. Walden alleged in her administrative charge that her demotion resulted in her job duties being assigned to a younger male, and that her termination stood in contrast to those outside her protected classes who were not terminated. (Compl. at Ex. A.) Based on these allegations, a DFEH investigation would have necessarily sought to identify any person or people who took over her duties when she was demoted and ultimately terminated and determine whether they were paid more than she had been.

The allegations of age and sex discrimination GDT challenges in Ms. Walden's civil suit, though not precisely mentioned in her DFEH complaint, would have logically been uncovered in a DFEH investigation because the charge of discrimination would have been evaluated in the context of the language of FEHA. (Gov. Code, § 12940(a).) A DFEH investigation would have necessarily inquired into the types of discrimination Ms. Walden's civil complaint alleges relating to the compensation and terms, conditions and privileges of her employment. (*Ibid.*) These allegations necessarily flow from and are "like or related to" her administrative charges. (*Jones, supra*, 98 Cal.App.3d at 810; *Soldinger, supra*, 51 Cal.App.4th at 381.)

Accordingly, Ms. Walden's specific allegations of discrimination relating to pay disparity and promotion do not exceed the bounds of her administrative charges because these charges are to be "construed liberally in favor of plaintiff [and] construed in light of what might be uncovered by a reasonable investigation." (*Soldinger, supra*, 51 Cal.App.4th at 381; *Nazir, supra*, 178 Cal.App.4th at 268.)

B. Gender Discrimination – Time-Barred Ancient Activities

GDT argues that Ms. Walden cannot base her discrimination cause of action on pay disparities dating back over 27 years because these constitute ancient activities and are time-barred. (Def. MSJ/MSA at 12:18-22.) This argument fails, however, because Ms. Walden's allegations outside the three-year

limitations period are still properly considered in her civil suit under the equitable exception to the three-year limitations period that is known as the continuing violation doctrine. (*Richards v. CH2M Hill, Inc.* (2001) 26 Cal.4th 798, 822-824; Cal. Gov. Code § 12960(e)(5).)

When a continuing violation is present under FEHA, as here, the statute of limitations begins to run when the course of conduct is brought to an end, in this case, by the termination of the employee. (*Williams v. Owens-Illinois, Inc.* (9th Cir. 1982) 665 F.2d 918, 924.) “Under this doctrine, a complaint arising under FEHA is timely if *any* of the discriminatory practices continues into the limitations period.” (*Richards, supra*, 26 Cal.4th at 822-824.)

An employer’s discriminatory conduct qualifies as a continuing violation if its actions are (1) sufficiently similar in kind, (2) have occurred with reasonable frequency, and (3) have not acquired a degree of permanence. (*Richards, supra*, 26 Cal.4th at 823.) “Permanence” is defined as when an employer’s statements and actions make it clear to a reasonable employee that future efforts at informal conciliation will be futile. (*Ibid.*)

The continuing violation doctrine makes pay discrepancies dating back before the limitations period timely because “an employer is liable for actions that take place outside the limitations period if these actions are sufficiently linked to unlawful conduct that occurred within the limitations period.” (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1056; *Williams, supra*, 665 F.2d at 924.)

Here, the limitations period runs three years back from the time Ms. Walden filed her complaint with DFEH on July 29, 2021; accordingly, the actionable period runs from July 29, 2018, to July 29, 2021. Ms. Walden alleges that she experienced a discriminatory pay disparity at the time she was terminated, April 28, 2021 (within the limitations period), when she was earning approximately \$87,000, while younger, less experienced male Project Managers were compensated in the range of \$110,000 to \$174,000. (Compl. ¶ 18.) She alleges this was part of a pattern of pay discrimination over the span of 27 years. (*Ibid.*)

Ms. Walden received annual evaluations that “consistently noted her exceptional technical skill set and client relationships,” and yet still the pay gap persisted. (Compl. ¶ 17.) She alleges that “on many occasions” a male Project Manager would vacate his position and GDT “required Plaintiff to take over the Project Manager duties while managing the office full time. GDT did so without ever offering the Project Manager position to Plaintiff or giving her a raise for the extra work she was doing.” (*Id.* ¶ 19.)

Accordingly, every time Ms. Walden had to fill in the role of a vacant Project Manager position without compensation, or had an evaluation or an opportunity to get a raise, this represented an opportunity for GDT to rectify its discriminatory compensation. (*Id.* ¶ 17.)

A minority employee who is not promoted in 1973, for example, and is subject to a continuing policy against promotion of minorities, may then file a timely charge in 1976, because the policy against promoting him or her continued to violate the employee’s rights up to the time the charge was filed.

(*Williams, supra*, 665 F.2d at 924.)

The disparate compensation schemes over a 27-year period of Ms. Walden's employment are alleged to have been consistent, thus they are sufficiently similar in kind. This alleged discrimination happened with reasonable frequency given Ms. Walden's annual evaluations. (*Richards, supra*, 26 Cal.4th at 823, Compl. ¶ 17.) There is no allegation that Ms. Walden was told at any point that she would never be offered a full-fledged Project Manager position or its attendant salary, thus she was not on notice that further efforts to end the unlawful conduct would be in vain. (*Ibid.*)

Given the continuing violation related to the alleged discriminatory compensation disparity, prior instances of this conduct outside the three-year limitation do not qualify as time-barred ancient activities.

However, even if, assuming *arguendo*, the continuing violation doctrine did not apply, "[a] discriminatory act which is not made the basis for a timely charge ... may constitute relevant background evidence in a proceeding in which the status of a current practice is at issue." (*United Air Lines v. Evans* (1977) 431 U.S. 553, 558.) Here, Ms. Walden's causes of action for gender and age discrimination leading to demotion and termination, and the allegations of disparate pay prior to 2021 would support those causes of action as "relevant background evidence," even if they did not constitute causes of action in their own right. (*Ibid.*)

C. Prima Facie Case of Discrimination

California has adopted the United States Supreme Court's burden-shifting *McDonnell Douglas* framework for evaluating FEHA claims of employment discrimination under a theory of disparate treatment. (*Mixon v. Fair Employment & Hous. Com* (1987) 192 Cal.App.3d 1306, 1316; *McDonnell Douglas Corp. v. Green*, 411 U.S. 79.)

Under *McDonnell Douglas* the plaintiff's burden of establishing a *prima facie* case requires her to show, by a preponderance of the evidence, that (1) she belongs to a protected class, (2) her job performance was satisfactory, (3) she experienced adverse employment action(s), and (4) others not in the protected class were retained in similar jobs, and/or her job was filled by an individual of comparable qualifications not in the protected class. (*McDonnell Douglas Corp, supra*, 411 U.S. at 802; *Mixon, supra*, 192 Cal.App.3d at 1318.)

A *prima facie* case of disparate treatment under *McDonnell Douglas* raises an inference of discrimination and shifts the burden to the employer to articulate some legitimate, nondiscriminatory reason for the employee's termination. (*McDonnell Douglas Corp, supra*, 411 U.S. at 802; *Int'l Bhd. of Teamsters v. United States* (1977) 431 U.S. 324, 358; *Furnco Constr. Corp. v. Waters* (1978) 438 U.S. 567, 577.)

FEHA [does not] require the employer to have good cause for its decisions. The employer may fire an employee for a good reason, a bad reason, a reason based on erroneous facts, or for no reason at all, as long as its action is not for a discriminatory reason. ... the

relevant question is ... whether the given reason was a pretext for illegal discrimination.

(*Arteaga v. Brink's, Inc.* (2008) 163 Cal.App.4th 327, 344 (citations and quotations omitted).)

The defendant's evidence is sufficient if it raises a genuine issue of fact as to whether it discriminated against the plaintiff by clearly setting forth through introduction of admissible evidence, the reasons for the plaintiff's rejection. (*Tex. Dep't of Cmty. Affairs v. Burdine* (1981) 450 U.S. 248, 254-255.)

The plaintiff is then burdened with showing that the defendant's "stated reason for plaintiff's rejection was in fact pretext." (*McDonnell Douglas Corp, supra*, 411 U.S. at 804.)

McDonnell Douglas on Summary Judgment

On summary judgment, the trial court must determine whether the Plaintiff has met their burden of presenting a *prima facie* case of discrimination. (*Arteaga, supra*, 163 Cal.App.4th at 343-344.)

Where the defendant's nondiscriminatory reasons are creditable on their face, the plaintiff "ha[s] the burden to *rebut* this facially dispositive showing by pointing to evidence which nonetheless raises a rational inference that intentional discrimination occurred." (*Guz v. Bechtel National, Inc.* (2000) 24 Cal.4th 317, 357.)

Unless the plaintiff presents admissible evidence that raises a triable issue of fact, the employer will be entitled to summary judgment if it presents admissible evidence that either (1) the plaintiff's *prima facie* case is lacking, or (2) the adverse employment action was based on legitimate nondiscriminatory factors (*Arteaga, supra*, 163 Cal.App.4th at 343-344.)

Accordingly, while the burden of proof will ultimately rest with the plaintiff in a discrimination action, when it comes to a motion for summary judgment or summary adjudication, "the burden rests with the moving party to negate the plaintiff's right to prevail on a particular issue." (*Arteaga, supra*, 163 Cal.App.4th at 343-344.)

i. Protected Class

FEHA prohibits discharging a person from employment because of their sex, gender or age. (Gov. Code, § 12940(a).) FEHA furthermore prohibits discriminating against a person based on sex, gender, or age in compensation or in terms, conditions, or privileges of employment. (*Ibid.*)

Here, Ms. Walden, as a woman, is in a protected class under FEHA based on sex or gender, and as a 59-year-old at the time of the alleged events she is also in a protected class based on her age. (Gov. Code, § 12940(a); Gov. Code § 12926(b); § 12926(r)(2); Compl. ¶ 4.) Under FEHA, "Age" is the chronological age of a person who has reached a 40th birthday. (Gov. Code § 12926(b).)

ii. Job Performance

Here, Ms. Walden alleges GDT annually gave her positive evaluations and feedback throughout her tenure with the company. (Compl. ¶ 17.) Her evaluations from GDT "consistently noted her exceptional technical skill set and client relationships." (*Ibid.*) It is not disputed that Ms. Walden's

performance was satisfactory.

iii. Adverse Employment Action

It is undisputed that Ms. Walden's duties were significantly reduced in February of 2021 and she was ultimately terminated on April 28, 2021. (UMF Nos. 8, 13.) It is undisputed that GDT took adverse employment actions against Ms. Walden.

iv. Discrimination Based on Age and Gender

Ms. Walden alleges that during her employment, although she was assigned both Office Manager duties and Project Manager duties, GDT paid her less than younger and less experienced men who did comparable project management work. (Compl. at ¶¶ 4,14,16,18.)

Ms. Walden alleges that at the time she was terminated, she was earning approximately \$87,000, while younger, less experienced male Project Managers were compensated in the range of \$110,000 to \$174,000. (Compl. ¶ 18.)

Ms. Walden further alleges that:

On many occasions, when a male Project Manager left the company either voluntarily or involuntarily, and the position [became] vacant, GDT expected and required Plaintiff to take over the Project Manager duties while managing the office full time. GDT did so without ever offering the Project Manager position to Plaintiff or giving her a raise for the extra work she was doing.

(Compl. ¶ 19.)

Ms. Walden alleges in her civil complaint that she felt she was repeatedly discriminated against during the span from 2003 until the time she was terminated in 2021. (Compl. ¶ 20.) This included being told by a male Project Manager that the Project Manager role is a "man's job" and being told by a manager that the company was already paying her more than they could justify paying a woman in her position. (Walden Dec. ¶¶ 19, 20.) She alleges that she complained to GDT about the discrimination to no avail. (Compl. ¶ 20.)

Ms. Walden also alleges that when she was terminated, a younger man with less experience replaced her and was paid more money to complete the same tasks she had previously performed. (Compl. ¶ 29.) Furthermore, Ms. Walden alleges she received a significantly lower offer of severance pay from GDT than had other employees with much shorter tenures. (Compl. ¶ 29.)

For the above reasons, Ms. Walden has satisfactorily alleged a *prima facie* case of disparate treatment based on gender and age discrimination. (*Mixon, supra*, 192 Cal.App.3d at 1318; see also: *Chaline v. KCOH, Inc.* (5th Cir. 1982) 693 F.2d 477, 480; *Tex. Dep't of Cmty. Affairs v. Burdine* (1981) 450 U.S. 248, 253.)

v. Defendant's Non-Discriminatory Reason for Adverse Employment Actions

A *prima facie* case of disparate treatment under *McDonnell Douglas* raises an inference of

discrimination and shifts the burden to the employer to articulate some legitimate, nondiscriminatory reason for the employee's termination. (*McDonnell Douglas Corp, supra*, 411 U.S. at 802; *Int'l Bhd. of Teamsters v. United States* (1977) 431 U.S. 324, 358; *Furnco Constr. Corp. v. Waters* (1978) 438 U.S. 567, 577.)

GDT contends that “there is no causal connection between Plaintiff’s alleged demotion or termination and her gender or age. The decisions to eliminate many of Ms. Walden’s duties and to ultimately terminate her were unrelated to her sex or gender.” (UMF No. 30.) The company alleges that it had a legitimate business reason for demoting and ultimately terminating Ms. Walden. (UMF No. 31.)

Affidavits in support of motions for summary judgment are strictly construed, and while they are not required to consist solely of evidentiary facts, such affidavits that merely state ultimate facts and conclusions of law are insufficient. (*Neary v. Regents of Univ. of Cal.* (1986) 185 Cal.App.3d 1136, 1143 [where affiant stated the legal conclusion that a decision not to release a report was a “policy decision,” the court found the statement insufficient to establish that the decision was actually an exercise of policymaking function].) “The bare statement of conclusions of law...will not sustain the summary judgment which rests upon it.” (*Koret of California, Inc. v. San Francisco* (1969) 2 Cal.App.3d 87, 91.)

Here, Defendants submit Mr. Boyd’s declaration to meet their burden of showing a non-discriminatory basis for demoting and terminating Ms. Walden.

The declaration notes that Ms. Walden’s demotion came in February of 2021, after Mr. Boyd, who was promoted the month before to Division Manager for Northern California, analyzed the office’s “workflow, communications, [and] the job duties of the employees.” (Boyd Dec. ¶¶ 3-4.) He found that Ms. Walden was responsible for supervising just two employees – a part-time secretary and an administrative assistant – while Jake Wilson supervised the rest of the office’s employees. (*Ibid*, Def. MSJ/MSA at 7:26-28.)

Mr. Boyd decided to demote Ms. Walden to “streamline management and supervision” and “keep the management style cohesive throughout the office.” (Boyd Dec. ¶ 5.) Mr. Wilson would instead supervise and manage all of the office’s employees moving forward, including the two administrative employees who had previously answered to Ms. Walden. (*Id.* at ¶¶ 6-7.) Mr. Boyd testified that neither Ms. Walden’s gender nor her age played a role in his analysis or decision to demote her. (*Id.* ¶ 6.)

Mr. Boyd asserted in his declaration that in the wake of Ms. Walden’s demotion, he noticed that her remaining duties were “minimal and, in many cases, redundant of duties other employees performed.” (Boyd Dec. ¶ 7.) He “concluded it made better economic sense, to eliminate [Ms. Walden’s] position and to disperse [her] few remaining job duties to other employees.” (*Id.* ¶ 8.) Mr. Boyd said that neither Ms. Walden’s gender nor her age played a role in his analysis or decision to terminate her. (*Ibid.*)

An employer’s denial of a discriminatory motive does not eliminate triable issues where the plaintiff

produces evidence permitting a reasonable inference of pretext. Accordingly, the Court notes that while Mr. Boyd's declaration that neither gender nor age played a role in either Ms. Walden's demotion or termination is a mere legal conclusion that will not sustain a summary judgment motion, Defendant has otherwise stated a non-discriminatory basis for the adverse employment actions taken against Ms. Walden. (*Koret of California, Inc.*, *supra*, 2 Cal.App.3d at 91.)

i. Pretext

Once the defendant articulates a legitimate, nondiscriminatory reason for the employee's termination, the plaintiff is then burdened with showing that the defendant's "stated reason for plaintiff's rejection was in fact pretext." (*McDonnell Douglas Corp.*, *supra*, 411 U.S. at 802, 804; *Int'l Bhd. of Teamsters*, *supra*, 431 U.S. at 358; *Furnco Constr. Corp.*, *supra*, 438 U.S. at 577.)

Here, Defendant asserts that Ms. Walden's duties were significantly reduced as part of operational restructuring and that her position was altogether eliminated for efficiency and to reduce redundancy. The burden therefore shifts to the Plaintiff to present evidence from which a reasonable trier of fact could find this explanation unworthy of credence.

Plaintiff has made such a showing.

Ms. Walden presents evidence that although her formal title was "Office Manager," she performed functions associated with Project Manager duties for many years, including coordinating project logistics, working with field crews, communicating with clients, assisting with project execution, managing equipment, identifying and ordering supplies, typing proposals, and more. (Walden Dec. ¶ 7; Fuerch Dec. Ex. 1 (Walden Depo.) at 101:16-104:12) Two former co-workers – Ms. Womble and Mr. Rogers – both identified Ms. Walden's role as that of a Project Manager. (Fuerch Dec. Ex. 2 at 25:12-26:8, 27:3-28:9; Fuerch Dec. Ex. 6 (Rogers Dec.) ¶ 8, 10.) Defendant disputes this characterization, contending that Ms. Walden's role remained administrative. This conflict in the evidence regarding the nature and scope of Ms. Walden's job duties is material to Defendant's asserted justification that Ms. Walden's position had minimal remaining responsibilities such that she was redundant.

Plaintiff also presents evidence that she was given positive evaluations and feedback during her tenure. (Compl. ¶ 17., Walden Dec. ¶¶ 14-15.) Evidence that an employee was performing satisfactorily may support an inference that termination was not solely the result of business necessity. While Defendant characterizes the elimination of Ms. Walden's position as unrelated to performance, the evidence regarding Ms. Walden's work responsibilities and performance creates a factual dispute as to whether the proffered reason fully explains the decision.

Further, Ms. Walden asserts that younger, less experienced male employees were paid significantly more for their work in project management than she was for completing the same tasks. (Walden Dec. ¶ 17.) If credited, this could support an inference that Ms. Walden's duties were not eliminated but reassigned, which may bear on whether Defendant's explanation reflects a legitimate business decision or a pretext for discrimination.

Finally, Ms. Walden offers testimony that, in her observation, several older employees were terminated around the time of her termination and in the preceding two years. (Walden Dec. ¶¶ 24-26.) While Defendant disputes the characterization, such testimony, if credited, may be considered as circumstantial evidence bearing on whether Defendant's proffered reason reflects a neutral business decision or is pretextual. At the summary judgment stage, the Court does not weigh the strength of this evidence but considers only whether it contributes to a triable issue of fact.

Also contributing to a triable issue is the fact that GDT identified six employees over the age of 40, including Ms. Walden, whom it terminated between January 1, 2019, and July 29, 2021. (Defendant's Special Inter. Resp. attached as Ex. 5 to Fuerch Dec. at 4:3-5.) GDT further admitted to terminating 34 employees over the age of 40 between January 1, 2019, and August 4, 2025. (*Id.* at 4:6-5:19.)

At the summary judgment stage, the Court does not weight credibility or resolve factual disputes. Viewing the evidence in the light most favorable to Plaintiff, the conflicting evidence regarding her job duties, the extent of her responsibilities, and the circumstances surrounding the elimination of her position is sufficient to permit a reasonable trier of fact to question Defendant's stated reason. Accordingly, Defendant has not met its burden to show the absence of a triable issue as to pretext.

D. Retaliation

FEHA prohibits an employer from discharging or otherwise discriminating against any employee because the employee opposed any practices forbidden under FEHA or because the person filed a complaint, testified, or assisted in any proceeding under FEHA. (Gov. Code § 12940(h).)

To establish a claim for retaliation under FEHA, a plaintiff must allege (1) she engaged in protected activity, (2) she was subjected to an adverse employment action, and (3) a causal link existed between the protected activity and the employer's action. (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1042.)

In order to file a suit seeking judicial relief for retaliation under FEHA, a plaintiff must first exhaust administrative remedies by filing administrative charge(s) with DFEH within one year of the alleged unlawful conduct and obtaining a "right-to-sue" letter from the agency. (*Lockheed Missiles & Space Co., supra*, 29 Cal.App.4th at 1724; *Rojo, supra*, 52 Cal.3d at 83; Gov. Code, § 12960.)

The administrative charge submitted to DFEH must be construed liberally in favor of plaintiff. (*Nazir, supra*, 178 Cal.App.4th at 268.) The judicial complaint may include that which might reasonably be uncovered by a DFEH investigation or that which is "like or related" to the allegations of the administrative charge. (*Sanchez, supra*, 431 F.2d at 466; *Oubichon, supra*, 482 F.2d at 571.) In order to exhaust administrative remedies, a plaintiff must identify in the administrative charge the specific conduct alleged to violate FEHA. (*Martin, supra*, 29 Cal.App.4th at 1724; *Wills, supra*, 195 Cal.App.4th at 153.)

Here, Ms. Walden's civil complaint alleges she made complaints to management repeatedly from 2003 to 2021 that she was being discriminated against and treated unfairly based on her protected statuses. (Compl. ¶¶ 20, 55.) She also alleges in her civil complaint that she complained about being

paid less than her younger male coworkers. (Compl. ¶ 55.) She alleges that GDT made the decision to terminate her employment as retaliation for this protected activity. (Compl. ¶ 56.) Meanwhile, Ms. Walden's administrative charge alleged more simply that gender and age discrimination resulted in demotion and termination.

GDT notes that Ms. Walden's administrative charge does not allege such retaliation or discrimination based on a retaliatory motive. (Compl. at Ex. A; Def. MSJ/MSA at 9:20-22.) It merely alleges discrimination based on gender and age. (Compl. at Ex. A.) GDT contends, accordingly, that Ms. Walden failed to exhaust administrative remedies for the retaliation cause of action in her civil suit because explicit reference to retaliation is absent from her administrative charges.

However, the court in *Baker v. Children's Hosp. Medial Ctr.* (1989) 209 Cal.App.3d 1057, found it reasonable that an investigation into administrative allegations that an employee was the victim of racial discrimination, in that he was denied the opportunity to work on-call hours in favor of a Caucasian employee with less seniority, would lead to the investigation of subsequent discriminatory acts undertaken by respondents in retaliation for appellant's filing an internal grievance. (*Baker v. Children's Hosp. Medical Ctr.* (1989) 209 Cal.App.3d 1057, 1060.)

A DFEH investigation into Ms. Walden's administrative charge of discrimination likely would have sought to determine whether she had made any complaints to the company about discrimination, and, as noted in *Baker*, DFEH would have reasonably inquired about retaliation for lodging such complaints. Such activity would be "like or related" to an investigation into the alleged age, sex, or gender-based discrimination. (*Soldinger, supra*, 51 Cal.App.4th at 381.)

For the above reasons, Ms. Walden's retaliation claim has been administratively exhausted.

E. Failure to Prevent, Investigate, and Remedy Discrimination and Retaliation

FEHA requires that an employer "take all reasonable steps necessary to prevent discrimination and harassment from occurring." (Gov. Code, § 12940(k).) An employer also must not "discriminate against any person because the person has opposed any practices forbidden [by FEHA] or because the person has filed a complaint, testified, or assisted in any proceeding under [FEHA]." (Gov. Code, § 12940(h).)

Claims for the violation of these provisions are derivative. (*Carter, supra*, 38 Cal.4th at 925, fn. 4; *Trujillo, supra*, 63 Cal.App.4th at 289; *Dickson, supra*, 234 Cal.App.4th at 1309.) On summary judgment, the defendant is entitled to judgment only if it establishes there is no triable issue of fact as to the underlying claims of retaliation and/or discrimination, or that it took all reasonable steps to prevent the retaliation or discrimination. (*Trujillo, supra*, 63 Cal.App.4th at 289, *Dickson, supra*, 234 Cal.App.4th at 1309.)

As GDT notes, Ms. Walden's causes of action for failure to prevent discrimination and failure to prevent retaliation are derivative of her claims of gender and age discrimination and retaliation. (*Carter, supra*, 38 Cal.4th at 925, fn. 4; *Trujillo, supra*, 63 Cal.App.4th at 289; *Dickson, supra*, 234 Cal.App.4th at 1309.) Accordingly, the company argues, because Ms. Walden's claims for

discrimination and retaliation should fail, so, too, does her claim for failure to prevent discrimination and retaliation. (Def. MSJ/MSA at 18:8-17.) As noted *supra*, Ms. Walden's claims for gender discrimination, age discrimination, and retaliation survive this motion, accordingly, so, too do her claims for failure to prevent discrimination and failure to prevent retaliation.

F. Wrongful Termination

Employment without a specified term may be terminated at the will of either party upon giving notice to the other. (Lab. Code, § 2922; *Petermann v. International Brotherhood of Teamsters* (1959) 174 Cal.App.2d 184, 188.) "An employer may not discharge an at will employee for a reason that violates fundamental public policy. This exception is enforced through tort law by permitting the discharged employee to assert against the employer a cause of action for wrongful discharge in violation of fundamental public policy." (*Stevenson v. Superior Court* (1997) 16 Cal.4th 880, 887; *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654, 665, 669; *Tameny v. Atlantic Richfield Co.* (1980) 27 Cal.3d 167, 172; *Gantt v. Sentry Insurance* (1992) 1 Cal.4th 1083, 1090.)

A person may not be disqualified from entering or pursuing a business, profession, vocation, or employment because of sex. (CA Constitution art I § 8.) "No extensive discussion is needed to establish the fundamental *public* interest in a workplace free from the pernicious influence of sexism. So long as it exists, we are *all* demeaned." (*Rojo, supra*, 52 Cal.3d at 90.) Age is among the categories protected by public policy for the purposes of a claim of wrongful termination in violation of public policy against an employer with five or more employees. (*Jennings v. Marralle* (1994) 8 Cal.4th 121, 135.)

Defendant moves for summary adjudication of Ms. Walden's wrongful termination claim on the same grounds as for Ms. Walden's statutory discrimination claims. This claim, however, is derivative of the alleged age and gender discrimination. Where the underlying statutory claims survive summary judgment, a wrongful termination claim predicated on the same public policies likewise survives. (*Rojo, supra*, 52 Cal.3d at 91.)

As discussed *supra*, Ms. Walden has presented evidence creating triable issues of material fact as to whether Defendant's stated reason for her demotion and termination was pretextual and whether age or gender may have been a motivating factor. Because those factual disputes bear directly on whether the adverse employment actions violated fundamental public policy, Defendant has not established as a matter of law that Ms. Walden cannot prevail on this claim.

Accordingly, summary adjudication of the wrongful termination claim is denied.

G. Punitive Damages

Defendant argues Ms. Walden is not entitled to punitive damages on the grounds that she has not established, by clear and convincing evidence, that Defendant acted with malice, oppression, or fraud. (Civ. Code, § 3294(a), Civ. Code § 437c(f)(1).) The Court agrees.

A plaintiff may recover punitive damages in an action for the breach of an obligation not arising out of contract where it is proven by clear and convincing evidence that the defendant has been guilty of

malice, oppression, or fraud. (*Angie M. v. Superior Court* (1995) 37 Cal.App.4th 1217, 1227; Code Civ. Proc., § 3294(a).)

As used in this section, the following definitions shall apply:

(1) “Malice” means conduct which is intended by the defendant to cause injury to the plaintiff or despicable conduct which is carried on by the defendant with a willful and conscious disregard of the rights or safety of others.

(2) “Oppression” means despicable conduct that subjects a person to cruel and unjust hardship in conscious disregard of that person’s rights.

(3) “Fraud” means an intentional misrepresentation, deceit, or concealment of a material fact known to the defendant with the intention on the part of the defendant of thereby depriving a person of property or legal rights or otherwise causing injury.

(Civ. Code, § 3294(c).)

Where the defendant is a corporate employer, liability for punitive damages may be imposed only if the wrongful conduct was committed, authorized, or ratified by an officer, director, or managing agent of the corporation, or if such an individual personally engaged in the conduct. (Civ. Code § 3294(b).) A managing agent is more than a mere supervisory employee. (*White v. Ultramar* (1999) 21 Cal.4th 563, 573.) A managing agent is an employee who exercises “substantial discretionary authority over significant aspects of a corporation’s business.” (*Id.* at 577.)

An allegation that an intentional tort was committed is not sufficient to warrant an award of punitive damages. (*Grieves v. Superior Court* (1984) 157 Cal.App.3d 159, 166.) “*There must be an intent to vex, annoy or injure.* Mere spite or ill will is not sufficient; and mere negligence, even gross negligence is not sufficient to justify an award of punitive damages.” (*Ebaugh v. Rabkin* (1972) 22 Cal.App.3d 891, 894 (emphasis in original).) “Malice” required by § 3294 implies acts taken in the spirit of mischief or with criminal indifference. (*Taylor v. Superior Court of Los Angeles County* (1979) 24 Cal.3d 890, 894 (citations omitted).)

Here, even viewing the evidence in the light most favorable to Ms. Walden, there is no evidence from which a reasonable trier of fact could find, by clear and convincing evidence, that Defendant acted with malice, oppression, or fraud within the meaning of Civil Code section 3294.

Ms. Walden’s evidence, at most, raises triable issues as to whether Defendant’s proffered business reasons for demoting and terminating her were pretextual. However, evidence sufficient to support an inference of discriminatory motive under the *McDonnell Douglas* framework does not, without more, constitute clear and convincing evidence of despicable conduct carried on with a willful and conscious disregard for Ms. Walden’s rights. (*White, supra*, 21 Cal.4th at 572-573; *Grieves, supra*, 157

Cal.App.3d at 166.)

Furthermore, Ms. Walden presents no evidence that any officer, director, or managing agent of GDT personally engaged in, authorized, or ratified conduct amounting to malice, oppression, or fraud. (Civ. Code, § 3294(b).) While Mr. Boyd is alleged to have taken the adverse employment actions challenged in this case, the record does not contain evidence that he acted with intent to injure Ms. Walden with despicable conduct in conscious disregard of her rights. Nor is there evidence of advance knowledge of unfitness, authorization, or ratification by a corporate officer or managing agent sufficient to satisfy Civil Code section 3294(b).

At most the evidence reflects a disputed employment decision and conflicting evidence regarding job duties and compensation. Such evidence, even if ultimately credited by a jury, would support compensatory liability only and does not rise to the level of clear and convincing proof of malice, oppression, or fraud required for punitive damages. ((Civ. Code, § 3294(a).)

Accordingly, Defendant is entitled to summary adjudication of Plaintiff's claim for punitive damages.

IV. Conclusion

For the foregoing reasons, Defendant's motion for summary judgment or, in the alternative, summary adjudication of Plaintiff's claims for (1) gender-based employment discrimination, (2) age-based employment discrimination, (3) failure to prevent, investigate, and remedy discrimination and retaliation, (4) retaliation, and (5) wrongful termination, is **denied**, but **granted** as to Plaintiff's prayer for punitive damages.

Evidentiary Matters

The Court need only rule on those objections material to the Court's ruling on the motion for summary judgment. (Code Civ. Proc. § 437c(q).)

i. Plaintiff's Objections to Boyd Declaration

Objection No. 1: **Overruled**.

Objection No. 2: **Overruled**.

Objection No. 3: **Overruled**.

ii. Defendant's Objections Rogers Declaration

Objection No. 1: **Overruled**.

Objection No. 2: **Overruled**.

Objection No. 3: **Overruled**.

iii. Defendant's Objections to Walden Declaration

Objection No. 1: **Sustained**. (Irrelevant to this motion.)

Objection No. 2: **Sustained** as to the portion of paragraph 14 that avers that the two men were paid

more than Ms. Walden and **overruled** as to the rest of the paragraph.

Objection No. 3: **Overruled**.

Objection No. 4: **Overruled**.

Objection No. 5: **Overruled**.

Objection No. 6: **Overruled**.

Objection No. 7: **Overruled**.

Objection No. 8: **Overruled**.

Objection No. 9: **Overruled**.

Objection No. 10: **Overruled**.

Objection No. 11: **Sustained**.

4. 9:00 AM CASE NUMBER: C23-02669
CASE NAME: ALDVIN SCHAKANOVICH VS. LINDA WILLIAMS
***HEARING ON MOTION IN RE: TO TRANSFER AND CONSOLIDATE CASES**
FILED BY: SCHAKANOVICH, ALDVIN
TENTATIVE RULING:

The unopposed motion to transfer and consolidate cases is granted.
The Court will sign the Proposed Order and email to Plaintiff for service on all parties.

5. 9:00 AM CASE NUMBER: C23-03306
CASE NAME: GLADYS QUINTANILLA VS. VIRGINIA GRUVER
***HEARING ON MOTION IN RE: ORDER IMPOSING TERMINATING SANCTIONS**
FILED BY: QUINTANILLA, GLADYS ELIZABETH
TENTATIVE RULING:

Plaintiffs bring the instant motion for terminating sanctions, or in the alternative, an order imposing issue and / or evidentiary sanctions.

On July 11, 2025, this Court ordered Defendant VIRGINIA GRUVER to serve verified discovery responses, without objection, to Plaintiff's Form Interrogatories, Set One, Special Interrogatories, Set One, and Requests for Production of Documents, Set One within 60 days (i.e. September 9, 2025)

The court also granted Plaintiffs' request for sanctions in the amount of \$4,440 imposed on Defendant and her Counsel to be paid within 20 days (i.e. July 31, 2025).

Plaintiffs assert that Defendant has failed to comply with the Court's July 11, 2025 order, and seek an